Goldilocks Holds

CPI in line: 2.4% YoY, core 0.2%. IEA record reserve release today. Navy clears Hormuz mines.

MARKETS

THE SURFACE SAYS FLAT. THE INTERNALS SAY WAR. S&P –0.16%, Nasdaq flat, Dow –0.04%. But UVXY surged 8.26% and TLT dropped 1.06%—that's volatility spiking and bonds selling simultaneously in a flat tape. The market is frozen between two forces: oil collapsing from $120 to $83 (bullish) and Iran mining the Strait of Hormuz (catastrophic). Tuesday's session swung wildly—S&P traded in a $14 range on a day it moved 11 cents.

The oil story dominated: WTI settled at $83.45, down 12% on the session after the IEA called an extraordinary meeting and Trump suggested the campaign was nearing completion. Then Energy Secretary Wright posted—and quickly deleted—that the Navy had escorted a tanker through Hormuz. The White House denied it. Oil bounced off its lows on the confusion. CBS reported Iran is moving toward deploying mines in the Strait.

This morning: the IEA has proposed the largest reserve release in its history. WSJ reports the release would exceed the 182M barrels deployed during the 2022 Ukraine crisis. Germany has already confirmed it will release reserves. The IEA extraordinary meeting is today—members expected to decide. Goldman says the release would offset 12 days of the estimated 15.4M bpd disruption and take $7 off oil. Oil this morning: Brent ~$88–90, WTI ~$84–86, still volatile.

Overnight: the US Navy sunk 16 Iranian minelayers near the Strait of Hormuz as Iran attempted to mine the waterway. Three cargo ships off Iran's coast were struck by projectiles this morning. Drone strikes near Dubai airport are deepening Gulf aviation chaos.

CPI JUST DROPPED: GOLDILOCKS. Headline +0.3% MoM, 2.4% YoY—exactly in line. Core +0.2% MoM, 2.5% YoY—also in line. Shelter +0.2% was the biggest contributor. Used vehicles and auto insurance declined. This is pre-oil-shock data (February), but it confirms inflation was stable before the war began. The Fed has its baseline: inflation was not re-accelerating. Combined with 92K jobs lost, the Fed now has room to cut if the labor market deteriorates further.

Oracle crushed Q3 last night: +8% after hours. Revenue guidance lifted $1B to $90B for FY27. Deutsche Bank upgraded software to overweight, saying AI disruption fears have peaked. Gas prices nationally at $3.54—highest since mid-2024, up 21% in a month.

IOWN Tactical: S&P at 6,781. Down ~11% from January highs. Approaching but not yet at our –20% buy trigger (~5,500). EIA forecasts Brent averaging $91 in Q2, then declining as transit resumes. CPI in line removes the inflation leg of the stagflation risk. If the IEA release happens today, this could be the inflection.

IOWN HOLDINGS: THE SESSION

A DEEPLY SPLIT TAPE. Top 5: SUPV +4.87% ($9.05)—Argentine banks rallying on EM inflows. MATX +2.18% ($156.76)—the shipping rebound if Hormuz reopens. PDD +2.16% ($104.86)—Chinese e-commerce catching a bid as tariff fears take a backseat to the war. LRCX +1.93% ($215.23)—semis holding. CAT +1.68% ($716.68)—the cyclical recovery trade.

Bottom 5: GPC –2.58% ($108.96), ADP –2.54% ($217.37), SYF –2.47% ($65.46), CNX –2.35% ($39.84), QCOM –2.11% ($135.20). The losers are a mix: consumer cyclical (GPC, SYF), payroll (ADP sold off hard—possibly on the 92K jobs loss data from Friday), and natural gas (CNX giving back as gas prices stabilized). QCOM selling on broader semi profit-taking.

Semis bifurcated: LRCX +1.93%, NVDA +1.16%, AMD +0.27%, KEYS +1.25% vs QCOM –2.11%, NXPI –1.08%, TSM –0.46%. Equipment and AI-adjacent names held; analog and mobile-facing names sold. The AVGO/Oracle earnings are providing a floor under the AI infrastructure plays.

Defense selling the news hard: LMT –1.95% ($651.22), GD –1.77% ($355.59). As Trump signals the war is ending, the defense premium is unwinding. These names are approaching levels where they become interesting again from a dividend perspective.

VLO +0.50% ($217.02)—refiners stabilizing after Thursday's 3.86% drop. Gold miners held: AEM +0.97%, GFI flat. Silver (SLV) +2.34%—industrial metal bid on supply disruption. Gold (GLD) +1.13%.

Benchmarks: DVY –0.30%, IWS –0.59%, IUSG +0.02%. Growth barely green, value and income both red. The market is rewarding secular growth and punishing anything macro-sensitive. Our growth hybrid continues to outperform.

DIGITAL ASSETS

BTC $69,288 (–1.65% 24h). ETH $2,022 (–1.57% 24h). A modest pullback after Monday's 3.27% surge. IBIT +1.48% ($39.71)—the ETF is holding gains even as spot BTC dips,

suggesting institutional accumulation. ETHA +0.20% ($15.40). BTC hovering around $70K, the key psychological level.

Fear & Greed at 15—still deep Extreme Fear. BTC dominance 56.8%, total crypto market cap $2.44T. Bitcoin is consolidating around $69–70K after the safe-haven bid held through the $120 oil shock. Derivatives and on-chain data show broadly bullish sentiment. If oil drops sub-$85 on the IEA release, crypto could catch a bid as the risk-off environment eases.

GEOPOLITICS

DAY 12. THE STRAIT IS THE BATTLEFIELD. The US Navy sunk 16 Iranian minelayers overnight—Tehran was actively mining the Strait of Hormuz. Three more ships struck by projectiles this morning. Drone strikes near Dubai airport. Iran says it will target US-Israeli economic and banking interests in the region. Israel says it's ahead of schedule on war goals and believes Iran's new supreme leader was lightly wounded in attacks.

The IEA extraordinary meeting today will determine the near-term oil trajectory. If 400M+ barrels are released—the largest in IEA history—Goldman estimates $7 off oil, putting WTI in the $76–78 range. Germany already confirmed release. That would bring oil back to pre-spike levels and dramatically reduce the stagflation risk.

An analyst at Marex warned: This conflict needs to end by end of week. Otherwise we'll see oil spike back over $100. The Hormuz minelaying is the key risk—mines are harder to clear than missile threats and could keep the Strait effectively closed even if a ceasefire is reached.

ON OUR RADAR

1. CPI in line removes one risk. Headline 2.4% YoY, core 0.2% MoM—both matching consensus. Pre-oil-shock inflation was stable, not accelerating. Combined with 92K jobs lost in February, the Fed now has a clear dual-mandate case to cut rates if needed. The stagflation narrative just lost its inflation leg—for now.

2. IEA reserve decision today is the oil catalyst. Largest release in IEA history proposed. If adopted, WTI could drop to $76–78 and the equity recovery accelerates. If blocked by even one member, oil retests $90–100. Watch for the announcement this afternoon.

3. The Navy is clearing the Strait. 16 Iranian minelayers sunk. This is the most concrete action to reopen Hormuz since the war began. If mine-clearing succeeds, tanker traffic resumes within days. That's the endgame scenario for the oil crisis.

4. Oracle's +8% after-hours validates the software bottom. Deutsche Bank upgraded software to overweight. The AI infrastructure boom (AVGO $100B forecast, Oracle $90B FY27 guidance) is pulling the entire tech stack higher. Our NVDA, LRCX, AMD positions are in the sweet spot. GTC in 5 days.

5. Defense is de-rating as the war signals wind down. LMT –1.95%, GD –1.77%. If Trump ends the campaign this week as suggested, defense names could sell off another 5–10%. But they remain excellent long-term dividend holdings. Don't trade the war premium—own the businesses. Avoid Erosion.

6. The bond market is the tell. TLT –1.06% on a flat equity day. Yields are rising on inflation expectations, not growth optimism. If CPI is hot, bonds sell further and rate-sensitive names (real estate, utilities, BKH, NEE) continue to bleed. If CPI is cool, TLT bounces and the whole landscape shifts.

For internal IOWN investment committee use only. Not investment advice. Information from public sources believed reliable. Past performance not indicative of future results. IOWN is an RIA under Paradiem.